

25STCV31681 25STCV31681

County: los-angeles

Division: Civil Law and Motion

Department: 515

Hearing date: 2026-09-04

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Case Number: 25STCV31681 Hearing Date: September 4, 2026 Dept: 515

NATURE OF PROCEEDINGS: Hearing on Motion for Summary

Judgment

The Motion for Summary Judgment is denied. Summary adjudication is granted as to the Second and Seventh Affirmative Defenses and is denied as to the remaining issues.

BACKGROUND

Plaintiff Midland States Bank (Midland) filed this action against Manuel Vazquez (Vazquez), alleging that Vazquez personally guaranteed two written loan and security agreements under which Leni's Industries, Inc. (LI) financed two tractor trucks, and that Vazquez has not paid following LI's default.

Midland alleges a single cause of action for Breach of Guaranties.

Vazquez filed an Answer asserting 19 affirmative defenses. Midland filed a Motion for Summary Judgment. No Opposition was filed.

LEGAL STANDARD

Summary judgment is proper only where no triable issue of material fact exists and the moving party is entitled to judgment as a matter of law. (Code Civ. Proc., § 437c, subd. (c).) A plaintiff moving for summary judgment "bears the burden of persuasion that 'each element of' the 'cause of action' in question has been 'proved,' and hence that 'there is no defense' thereto." (Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 850 (Aguilar).)

A plaintiff "has met that party's burden of showing that there is no defense to

a cause of action if that party has proved each element of the cause of action entitling the party to judgment on the cause of action.” (Code Civ. Proc., § 437c, subd. (p)(1).) Only then does the burden shift to the defendant to show that a triable issue of one or more material facts exists as to the cause of action or a defense. (Ibid.)

“On a motion for summary judgment, the initial burden is always on the moving party to make a prima facie showing that there are no triable issues of material fact.” (Scalf v. D.B. Log Homes, Inc. (2005) 128 Cal.App.4th 1510, 1519 (Scalf).) The burden does not shift merely because no opposition was filed. A motion that fails to make that showing is denied whether or not it is opposed.

A party may also move for summary adjudication of one or more causes of action or affirmative defenses. The motion “shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty.” (Code Civ. Proc., § 437c, subd. (f)(1).) A motion for summary adjudication proceeds in all procedural respects as a motion for summary judgment. (Id., subd. (f)(2).)

ANALYSIS

I. Breach of Guaranty

Midland contends that it has proved every element of its cause of action and that the burden has therefore shifted to Vazquez, both on the claim and on each affirmative defense. Vazquez filed no Opposition.

Midland frames its alternative request as 20 numbered issues. The first is the cause of action itself, and the other 19 are Vazquez’s affirmative defenses.

One who promises to answer for the debt or default of another is a surety, and the distinction between sureties and guarantors is abolished. (Civ. Code, § 2787.) A guaranty is a contract, and “[t]he elements of a cause of action for breach of contract are (1) the existence of the contract, (2) plaintiff’s performance or excuse for nonperformance, (3) defendant’s breach, and (4) the resulting damages to the plaintiff.” (Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 821.)

Each Guaranty provides that it “shall be governed by the laws of the State of Illinois, without regard to the conflict of laws principles thereof,” and each Loan Agreement carries the same term for the underlying obligation. (Jacobs Decl., Ex. 1, at p. 3; Ex. 6, at p. 3.) A California court enforces a contractual choice-of-law clause where the party urging it shows that the chosen state has a substantial relationship to the parties or the transaction, or that some other reasonable basis for the choice exists. (Washington Mutual Bank v. Superior Court (2001) 24 Cal.4th 906, 916.) Neither side urges the clause, and Midland briefs the motion under California law throughout. A California court applies its own rule of decision unless a party litigant timely invokes the law of a foreign state. (Hurtado v. Superior Court (1974) 11 Cal.3d 574, 581.) The Court therefore applies California law.

A. Formation and Default

Here, Midland has proved the first three elements. First, Midland and LI executed two written Loan and Security Agreements on November 9, 2021, each lending LI \$134,966.50 at 6.8% interest and repayable in 72 monthly payments of \$2,288.10. (Jacobs Decl., ¶¶ 7, 8, 11, 12, Exs. 1, 6.) Vazquez subscribed a written Personal Guaranty at the foot of each agreement, unconditionally guaranteeing LI's present and future obligations to the lender and its assignees and waiving presentment and demand. (Jacobs Decl., ¶¶ 9, 13; Wierman Decl., Ex. 1, at pp. 3-4; Ex. 6, at pp. 3-4.) Second, Midland funded both transactions, paying the dealer at Vazquez's written direction as LI's president. (Jacobs Decl., ¶¶ 10, 14, Exs. 3-4, 8-9.) Finally, LI made no payment after the installment due June 9, 2025, and Vazquez has paid nothing under either Guaranty. (Jacobs Decl., ¶ 18, Exs. 10-11; Fitzgerald Decl., ¶¶ 8, 12.)

B. The Assignment

Midland no longer holds the Loan Agreements. On November 26, 2025, after this action was filed, Midland sold and assigned all of its right, title and interest in both Loan Agreements, together with the agreements evidencing its rights in the supporting obligations securing LI's debt. (Jacobs Decl., ¶¶ 10, 14, Ex. 5, at pp. 7-8.)

Still, the transfer does not defeat the action. An action “does not abate by the transfer of an interest in the action or proceeding,” and it “may be

continued in the name of the original party.” (Code Civ. Proc., § 368.5.)

Midland may prosecute this action in its own name notwithstanding the sale. No party has asked that the assignee be substituted.

C. Damages

Midland has not proved the amount owed. The sum claimed is \$134,526.72, made up of \$67,263.36 under each Loan Agreement. (Jacobs Decl., ¶ 18, Ex. 14.) Each account balance statement begins with remaining principal of \$62,962.27 and then adds interest of \$1,296.44, a prepayment penalty of \$1,259.25, late charges of \$687, an unamortized commission of \$803.76, and an unamortized FASB expense of \$254.64. (Ibid.)

Three of those items come from the prepayment provision. Each Loan Agreement gives LI the privilege of prepaying “the unpaid balance of this Loan before maturity in whole by paying us the unpaid Principal Sum, any accrued but unpaid interest, late charges, and any unamortized expenses incurred by us for the origination of this Loan, as of the prepayment date, plus a prepayment fee equal to 5% of the prepaid Principal Sum if prepayment occurs during months 1-12, 4% during months 13-24, 3% during months 25-36, 2% during months 37-48 and 1% during months 49-72.” (Jacobs Decl., Ex. 1, at p. 1; Ex. 6, at p. 1.) Each statement charges a prepayment fee of 2%, or \$1,259.25 on \$62,962.27, which is the rate for months 37 through 48. The unamortized commission and the unamortized FASB expense correspond to the origination expenses that the same sentence describes.

LI did not prepay. Midland declared the unpaid and future payments immediately due after LI’s default. (Jacobs Decl., ¶ 16.) On an event of default the Loan Agreements entitle the lender to accelerate and to collect “the outstanding Principal Sum of the Loan, together with all accrued but unpaid interest thereon and all outstanding fees and expenses due and unpaid,” along with the costs of enforcement and interest at the stated rate plus 3%. (Jacobs Decl., Ex. 1, at pp. 2-3; Ex. 6, at pp. 2-3.)

However, that provision says nothing about a prepayment fee or about unamortized origination expenses, and the prepayment provision measures every component that it lists “as of the prepayment date.” A charge “cannot reasonably be regarded as a prepayment charge” where “the condition that limits its operation” is “logically unrelated” to compensation for prepayment. (Ridgley v. Topa Thrift & Loan Assn. (1998) 17 Cal.4th 970, 980.) Midland does

not explain why a borrower's privilege of voluntary payoff sets the measure of a lender's recovery on acceleration. Those three items make up \$2,317.65 of each contract's total and \$4,635.30 of the sum that Midland asks the Court to award.

Nor do the statements support the date to which Jacobs computes the sum. Each statement gives its "Interest As of" date as September 18, 2025, and leaves the day count blank. (Jacobs Decl., Ex. 14.) Midland alleged the identical figure as of October 8, 2025, "plus interest which accrues." (Complaint, ¶ 16.) Jacobs states that the same sum is due as of May 6, 2026. (Jacobs Decl., ¶ 18.) Midland's own pleading says interest accrued after October 8, 2025. The sum Jacobs gives for May 6, 2026 is nonetheless the sum the statements computed for September 18, 2025.

The prepayment fee matches the September date and not the date Jacobs gives. The Loan Terms block of each agreement sets a Funding Date and a Commencement Date of December 9, 2021 and provides for payments in arrears. The payment histories number the installment due June 9, 2025 as the 42nd. (Jacobs Decl., Ex. 1, at p. 1; Ex. 6, at p. 1; Exs. 10-11.) The first installment therefore fell due in January 2022, and months 37 through 48 closed no later than January 2026. Thus, a fee computed as of May 6, 2026 would fall in the 1% tier, or \$629.62. Each statement instead charges 2%, the tier open in September 2025.

The interest figure does not reconcile either. Each statement lists a yearly rate of 6.8%, which it labels "Default Interest," a per diem of \$10.79, and interest of \$1,296.44 on principal of \$62,962.27. (Jacobs Decl., Ex. 14.) The Loan Agreements compute interest at 6.8% on a 360-day year of twelve 30-day months. That produces \$11.89 a day on that principal. (Jacobs Decl., Ex. 1, at p. 1; Ex. 6, at p. 1.) On default the remedies provision raises the rate to the stated rate plus 3%. (Jacobs Decl., Ex. 1, at pp. 2-3; Ex. 6, at pp. 2-3.) The statement's per diem is below both rates, and the rate it labels default is the stated rate.

Jacobs's date of default is not the date the exhibits show. He states that LI failed to make the payments due for June 2025 and thereafter. (Jacobs Decl., ¶ 15.) However, the payment histories show the installment due June 9, 2025 paid on June 12, 2025, and no entry after it. (Jacobs Decl., Exs. 10-11.) Wierman, Midland's records custodian, gives no month at all. (Wierman Decl., ¶ 14.) The exhibits control, and they put the first missed payment on July 9,

2025. The demand letter of August 5, 2025 reflects that date, stating that a single payment is 26 days past due. (Jacobs Decl., ¶ 17, Ex. 13.)

Each Loan Agreement authorizes a late fee of the greater of \$50 or 10% of a payment not made within 10 days of when due. (Jacobs Decl., Ex. 1, at p. 1; Ex. 6, at p. 1.) On a payment of \$2,288.10, that fee is \$228.81. The demand letter assessed \$229 on one of the two contracts and, with the past due payment, requested \$2,517.10 in all. (Jacobs Decl., Ex. 13.) Thus, the \$687 charged on each statement is three such fees where the letter demanded one. As of September 18, 2025, the installments due July 9 and August 9 had gone unpaid for 10 days, and the installment due September 9 reached that point on September 19. The Loan Agreements therefore permit two such fees as of the date each statement bears, and nothing in the record explains the third.

A plaintiff moving under Code of Civil Procedure section 437c, subdivision (p)(1), proves damages as it proves the other elements. Midland asks for judgment in a sum certain. However, its evidence does not establish that sum. The burden therefore never shifted to Vazquez. Nor does the absence of an opposition supply what the moving papers leave out. (Scalf, supra, 128 Cal.App.4th at p. 1519.)

Accordingly, the Motion for Summary Judgment is denied. Summary adjudication of the first issue seeks the same relief on the same ground and is denied with it.

II. Affirmative Defenses

Midland contends that each of Vazquez's 19 affirmative defenses is without merit as a matter of law and that Vazquez has failed to meet a burden of proof that has shifted to him. (Notice of Motion, at pp. 2-5.) The separate statement offers the same 20 facts on every one of these issues. (Separate Statement, at pp. 9-153.)

Midland reasons that proof of its cause of action relieves it of any showing on the defenses, so that a plaintiff need not refute each affirmative defense to obtain summary judgment. (Mot., at p. 8.) Under Code of Civil Procedure section 437c, subdivision (p)(1), proof of every element shifts the burden to the defendant on the cause of actions, but not on affirmative defenses.

A plaintiff moving for summary adjudication of an affirmative defense must show that the defense lacks merit. A motion for summary adjudication proceeds in all procedural respects as a motion for summary judgment. (Code Civ. Proc., § 437c, subd. (f)(2).) The moving party bears an initial burden of production to make a prima facie showing that no triable issue of material fact exists. (Aguilar, supra, 25 Cal.4th at pp. 850-851.) What the moving party must show varies with which party would bear the burden of proof at trial. (Id. at p. 851.) Vazquez would bear that burden on his affirmative defenses. Midland therefore “must negate an essential element of the defense, or establish the defendant does not possess and cannot reasonably obtain evidence needed to support the defense.” (See’s Candy Shops, Inc. v. Superior Court (2012) 210 Cal.App.4th 889, 900.) The subdivision (p)(1) shift never occurred. That showing is therefore Midland’s to make. Adjudication remains available only where the motion completely disposes of the defense as the Answer pleads it. (Code Civ. Proc., § 437c, subd. (f)(1).) Two of the defenses fail on the first ground, and a third fails only in part.

A. Limitations

The Second Affirmative Defense pleads that the action is barred by “the applicable statute of limitations, including, without limitation,” Code of Civil Procedure sections 335, 337, 337(a), 338, 339, 340, and 343. (Answer, ¶ 2.) An action on an obligation founded on a written instrument must be brought within four years. (Code Civ. Proc., § 337, subd. (a).) Here, the Guaranties are written instruments, and Midland filed this action on October 30, 2025, less than four years after the November 9, 2021 execution. (Jacobs Decl., ¶¶ 7, 11.) The action is timely under the shorter periods that the defense enumerates as well, the briefest of which is one year. (Code Civ. Proc., § 340.) Vazquez’s obligation matured no earlier than LI’s first missed installment on July 9, 2025, and Midland demanded payment on August 5, 2025. (Jacobs Decl., ¶ 17, Exs. 10-11, 13.) The action followed within four months of the first missed installment and within three months of the demand. Therefore, the Second Affirmative Defense is without merit as a matter of law, and summary adjudication of that defense is granted.

B. Statute of Frauds

The Seventh Affirmative Defense pleads that the action is barred by the statute of frauds, including Civil Code section 1624. (Answer, ¶ 7.) A special promise to answer for the debt, default, or miscarriage of another is invalid

unless it, or some note or memorandum of it, is in writing and subscribed by the party to be charged. (Civ. Code, § 1624, subd. (a)(2).) Here, each Guaranty appears at the foot of the Loan Agreement that it guarantees and recites that the guarantor “unconditionally and irrevocably, guarantees the full and prompt payment and performance of Debtor’s obligations.” (Jacobs Decl., Ex. 1, at p. 3; Ex. 6, at p. 3.) Vazquez signed each Guaranty, and his name is printed beneath his signature. (Wierman Decl., Ex. 1, at p. 4; Ex. 6, at p. 4.) The statute requires a subscribed writing, and the record contains one for each Loan Agreement. Thus, the Seventh Affirmative Defense is without merit as a matter of law, and summary adjudication of that defense is granted.

C. Bankruptcy

The Tenth Affirmative Defense has two branches. The first is that LI’s Chapter 7 filing bars any proceeding against the corporation, its principals, its shareholders, and its guarantors absent leave of the bankruptcy court, so that Midland lacks standing. The second is that Vazquez’s obligation is discharged, resolved, or reduced to the extent LI’s obligations were discharged, resolved, or reduced in the bankruptcy. (Answer, ¶ 10.)

Midland’s showing defeats the first branch. LI filed the petition on September 19, 2025, after Midland accelerated the Loan Agreements and before Midland filed this action. (Jacobs Decl., ¶ 16, Ex. 12.) The automatic stay reaches “the commencement or continuation ... of a judicial, administrative, or other action or proceeding against the debtor.” (11 U.S.C. § 362(a)(1).) However, LI is the debtor in that case, and this action is against Vazquez. Each Guaranty may be enforced directly against Vazquez without any proceeding against LI and without the lender pursuing any other remedy. (Jacobs Decl., Ex. 1, at p. 3; Ex. 6, at p. 3.)

Nor will LI’s case discharge the guaranteed obligation. A Chapter 7 court grants a discharge “unless ... the debtor is not an individual.” (11 U.S.C. § 727(a)(1).) LI is a California corporation. (Jacobs Decl., Ex. 1, at p. 1; Ex. 6, at p. 1.) In any event, a discharge “does not affect the liability of any other entity on, or the property of any other entity for, such debt.” (11 U.S.C. § 524(e).) The record discloses no bankruptcy petition by Vazquez.

However, Midland does not address the reduction part of the defense. A discharge leaves the guarantor liable because it leaves the debt intact and bars only its collection from the debtor. Each Guaranty is of LI’s ‘obligations’

and 'indebtedness,' so its measure is what LI owes, and a payment that reduces the indebtedness reduces what is guaranteed. (Jacobs Decl., Ex. 1, at p. 3; Ex. 6, at p. 3.) The Loan Agreements direct that the proceeds of any sale of the Collateral 'shall be applied to your Obligations.' (Jacobs Decl., Ex. 1, at p. 3; Ex. 6, at p. 3.) The 20 facts say nothing about what became of the two Vehicles securing the debt. Fitzgerald and Jacobs declare that no payment has been received, but they speak for North Mill Equipment Finance and for Midland, and the instrument of transfer names neither as the buyer. (Fitzgerald Decl., ¶¶ 1, 8, 12, 13; Jacobs Decl., ¶¶ 1, 18, Ex. 5, at p. 1.) Whether LI's obligation was reduced in its case is therefore not negated on this record. Midland's motion disposes of part of the defense and not the whole. (Code Civ. Proc., § 437c, subd. (f)(1).) Accordingly, summary adjudication of the Tenth Affirmative Defense is denied.

D. The Remaining Defenses

Midland offers the same 20 facts on the remaining 16 issues, and those facts establish the Loan Agreements, the Guaranties, LI's default, and the balance that Midland claims. However, those facts say nothing about whether Midland relinquished a known right, delayed in a way that prejudiced Vazquez, made a representation that Vazquez relied on, impaired the collateral, owes an offset for the collateral's value, or failed to mitigate.

Midland asserts that Vazquez cannot produce evidence for most of these defenses. However, Midland identifies no discovery response, deposition testimony, or admission behind the assertion, and the assertion itself is not evidence that Vazquez lacks the proof. (Aguilar, *supra*, 25 Cal.4th at pp. 854-855.) Midland elsewhere asserts that it waived no rights, that LI and Vazquez contracted voluntarily, that LI has retained possession of the Vehicles, and that the amount due is objectively calculable. (Mot., at pp. 11, 12, 14.) No declaration and no separate-statement fact supports any of these assertions. Nothing in the 20 facts negates an element of any of these defenses. Midland has therefore made no prima facie showing on either ground.

Midland contends that the Fifth Affirmative Defense is a denial rather than an affirmative defense and that the Nineteenth is a reservation of rights that California law does not recognize as a defense. (Mot., at pp. 11, 15.) Subdivision (f)(1) authorizes adjudication of an affirmative defense. On Midland's reading, neither defense is an affirmative defense. Moreover, the First, the Fifth, the Ninth, and the Fifteenth each depend on whether Midland

has established its damages. (Mot., at pp. 10-12.) None of the four can be adjudicated in Midland's favor on a record that does not establish the amount owed.

Accordingly, summary adjudication is denied as to the remaining issues.

CONCLUSION

The Motion for Summary Judgment is denied. Summary adjudication is granted as to the Second and Seventh Affirmative Defenses and is denied as to the remaining issues.